ACCOUNTING

Unit-IV: Management Accounting

Comprehensive Study Notes

UNIT-IV: MANAGEMENT ACCOUNTING

1. Introduction to Management Accounting

1.1 What is Management Accounting?

Management Accounting is the process of identifying, measuring, analyzing, interpreting, and communicating financial information to managers for planning, decision-making, and control.

> ***American Accounting Association:*** *"Management Accounting is the application of accounting and statistical techniques to provide information for managerial decision-making and control."*

> ***Robert Anthony:*** *"Management Accounting is the process of preparation of accounting information for use by management in planning, decision-making, and control."*

1.2 Nature of Management Accounting

Feature	Description
Management-Oriented	Provides information for management use
Future-Oriented	Focuses on future planning
Selective	Provides only relevant information
Internal Use	Used by internal management
Decision-Making	Aids in decision-making
Not Mandatory	Not legally required
Flexible	Adaptable to management needs
Both Financial & Non-Financial	Uses both types of data

1.3 Importance of Management Accounting

Importance	Description
Planning	Helps in planning and budgeting
Decision-Making	Aids in strategic and operational decisions
Control	Helps in controlling operations
Performance Evaluation	Evaluates performance
Efficiency	Improves efficiency
Profitability	Increases profitability
Communication	Communicates information effectively
Coordination	Coordinates activities

2. Scope & Functions of Management Accounting

2.1 Scope of Management Accounting

```
+-----------------------+      +-----------------------+
   FINANCIAL PLANNING              COST ACCOUNTING
+-----------------------+      +-----------------------+
+-----------------------+      +-----------------------+
  Budgeting                        Cost Control
  Forecasting                      Cost Reduction
  Capital Budgeting                Cost Analysis
+-----------------------+      +-----------------------+
```

2.2 Functions of Management Accounting

Function	Description
Planning	Formulating short-term and long-term plans
Organizing	Organizing resources to achieve goals
Directing	Guiding and motivating employees
Controlling	Monitoring performance
Coordinating	Coordinating different departments
Decision-Making	Providing information for decisions
Communication	Communicating information to management
Reporting	Preparing reports for management

3. Financial Statement Analysis

3.1 What is Financial Statement Analysis?

Financial Statement Analysis is the process of examining financial statements to understand the financial position and performance of a business.

```
+-----------------------+      +-----------------------+
     RATIO ANALYSIS                  FUND FLOW
                                     ANALYSIS
+-----------------------+      +-----------------------+
+-----------------------+      +-----------------------+
   Liquidity Ratios                Sources of Funds
   Profitability Ratios            Uses of Funds
   Solvency Ratios                 Changes in WC
   Activity Ratios
+-----------------------+      +-----------------------+
```

4. Ratio Analysis

4.1 What is Ratio Analysis?

Ratio Analysis is the technique of analyzing financial statements by calculating and interpreting financial ratios.

> ***Definition:*** *"Ratio analysis is the process of determining and interpreting numerical relationships between figures in financial statements."*

```
+-----------------------+      +-----------------------+
   LIQUIDITY RATIOS               PROFITABILITY
   (Short-term)                    RATIOS
+-----------------------+      +-----------------------+
+-----------------------+      +-----------------------+
   SOLVENCY RATIOS                 ACTIVITY RATIOS
   (Long-term)                     (Turnover)
+-----------------------+      +-----------------------+
```

4.2 Liquidity Ratios

Ratio	Formula	Ideal Ratio
Current Ratio	Current Assets / Current Liabilities	2:1
Quick Ratio	Quick Assets / Current Liabilities	1:1

Example

```
Current Assets      = ?2,00,000
Current Liabilities = ?1,00,000
Current Ratio       = 2,00,000 / 1,00,000 = 2:1
Quick Ratio         = (2,00,000 - Stock) / 1,00,000
```

4.3 Profitability Ratios

Ratio	Formula
Gross Profit Ratio	(Gross Profit / Net Sales) x 100
Net Profit Ratio	(Net Profit / Net Sales) x 100
Return on Capital Employed (ROCE)	(Net Profit / Capital Employed) x 100

Example

```
Gross Profit          = ?1,00,000
Net Sales             = ?5,00,000
Net Profit            = ?50,000
Capital Employed      = ?2,00,000

Gross Profit Ratio    = (1,00,000 / 5,00,000) x 100 = 20%
Net Profit Ratio      = (50,000 / 5,00,000) x 100 = 10%
ROCE                  = (50,000 / 2,00,000) x 100 = 25%
```

4.4 Solvency Ratios

Ratio	Formula
Debt-Equity Ratio	Total Debt / Shareholders' Equity
Interest Coverage Ratio	EBIT / Interest Charges

4.5 Activity Ratios

Ratio	Formula
Inventory Turnover	COGS / Average Inventory
Debtor Turnover	Credit Sales / Average Debtors

Asset Turnover	Sales / Total Assets

4.6 Solved Example: Ratio Analysis

Example

Given: Sales = ?8,00,000; Gross Profit = ?2,00,000; Net Profit = ?1,00,000

```
Gross Profit Ratio = (2,00,000 / 8,00,000) x 100 = 25%
Net Profit Ratio   = (1,00,000 / 8,00,000) x 100 = 12.5%
```

5. Fund Flow Analysis

5.1 What is Fund Flow Analysis?

Fund Flow Analysis is the study of changes in the financial position of a business between two balance sheet dates.

> ***Definition:*** *"Fund Flow Statement is a statement prepared to show the changes in the financial position of a business."*

5.2 Format of Fund Flow Statement

```
FUND FLOW STATEMENT
====================

SOURCES OF FUNDS                    Amount (?)
-----------------------------------------------
Funds from Operations                 xxx
Issue of Share Capital                xxx
Issue of Debentures                   xxx
Sale of Fixed Assets                  xxx
Sale of Investments                   xxx
Long-term Borrowings                  xxx
-----------------------------------------------
TOTAL SOURCES                         xxx

APPLICATIONS OF FUNDS               Amount (?)
-----------------------------------------------
Purchase of Fixed Assets              xxx
Purchase of Investments               xxx
Redemption of Debentures              xxx
Redemption of Preference Shares       xxx
Payment of Dividends                  xxx
Repayment of Long-term Loans          xxx
-----------------------------------------------
TOTAL APPLICATIONS                    xxx

Net Increase/Decrease in WC        = Sources - Applications
```

5.3 Calculation of Funds from Operations

```
FUNDS FROM OPERATIONS
======================

Net Profit (as per P&L A/c)                xxx
Add: Non-fund items (not affecting WC):
  Depreciation                             xxx
  Goodwill Written Off                     xxx
  Preliminary Expenses Written Off         xxx
  Loss on Sale of Fixed Assets             xxx
  Transfer to Reserves                     xxx
                                          -----
                                            xxx
Less: Non-fund incomes:
  Profit on Sale of Fixed Assets           xxx
  Dividend Income                          xxx
  Rent Income                              xxx
                                          -----
Funds from Operations                      xxx
```

5.4 Solved Example: Fund Flow Statement

Example

Balance Sheet

Particulars	31.03.2025 (?)	31.03.2026 (?)
Capital	2,00,000	2,50,000
Creditors	50,000	60,000
Profit & Loss A/c	30,000	50,000
Fixed Assets	1,80,000	2,20,000
Stock	40,000	60,000
Debtors	60,000	80,000

Cash	50,000	40,000

Additional Information: Depreciation provided: ?20,000

6. Cash Flow Analysis

6.1 What is Cash Flow Analysis?

Cash Flow Analysis is the study of cash inflows and outflows of a business during a specific period.

> ***Definition:*** *"Cash Flow Statement is a statement that shows the inflow and outflow of cash during a particular period."*

6.2 Cash Flow Activities

```
+-----------------------+      +-----------------------+
   OPERATING                      INVESTING
   ACTIVITIES                     ACTIVITIES
+-----------------------+      +-----------------------+
+-----------------------+      +-----------------------+
  Cash received from              Purchase of Assets
    customers                     Sale of Assets
  Cash paid to suppliers          Purchase of Investments
  Cash paid to employees          Sale of Investments
  Operating expenses
+-----------------------+      +-----------------------+

+-----------------------+
   FINANCING
   ACTIVITIES
+-----------------------+
+-----------------------+
  Issue of Shares
  Redemption of Debentures
  Payment of Dividends
  Loan Repayment
+-----------------------+
```

6.3 Cash Flow vs Fund Flow

Feature	Cash Flow Statement	Fund Flow Statement
Basis	Cash only	Total working capital
Purpose	Short-term planning	Long-term planning
Format	Three categories	Two categories
Use	Cash management	Financial management

6.4 Solved Example: Cash Flow Statement

Example

Given Data:

Particulars	31.03.2025 (?)	31.03.2026 (?)
Cash	10,000	15,000
Debtors	20,000	25,000
Creditors	15,000	18,000
Fixed Assets	50,000	60,000
Capital	40,000	50,000
Profit & Loss	25,000	38,000

Additional Information: Depreciation: ?12,000; No sale of fixed assets

7. Questions

Short Answer Questions (2-5 Marks)

1. What is management accounting?
2. What is the scope of management accounting?
3. What is ratio analysis?
4. What is fund flow analysis?
5. What is cash flow analysis?
6. What are the types of ratios?
7. What is current ratio?
8. What is gross profit ratio?
9. What is the difference between fund flow and cash flow?
10. What are the tools of financial statement analysis?

Long Answer Questions (10 Marks)

1. Explain the nature and scope of management accounting.
2. Explain the tools of financial statement analysis.
3. Explain ratio analysis with its types and formulas.
4. Explain fund flow analysis with an example.
5. Explain cash flow analysis with an example.
6. Differentiate between ratio analysis, fund flow, and cash flow analysis.

Practice Questions

Q.No.	Question
Q1	Calculate current ratio, quick ratio, and debt-equity ratio from a given balance sheet
Q2	Prepare fund flow statement from given data
Q3	Prepare cash flow statement from given data
Q4	Calculate profitability ratios from given data
Q5	Compare fund flow and cash flow statements

Objective Questions (1 Mark)

1. Management accounting provides information to:
   (a) External users (b) Internal management (c) Government (d) Public
2. Current ratio is:
   (a) 1:1 (b) 2:1 (c) 3:1 (d) 4:1
3. Quick ratio is:
   (a) 1:1 (b) 2:1 (c) 3:1 (d) 4:1
4. Fund flow statement shows:
   (a) Changes in cash (b) Changes in working capital (c) Changes in profit (d) Changes in sales
5. Cash flow statement shows:
   (a) Changes in cash (b) Changes in working capital (c) Changes in profit (d) Changes in sales

8. Quick Revision

Management Accounting Summary

```
MANAGEMENT ACCOUNTING

Definition: Provides financial & non-financial info for
            managerial planning, decision-making & control.

Nature:     Management-oriented, Future-oriented, Selective,
            Internal use, Flexible, Not mandatory

Tools:      Ratio Analysis, Fund Flow, Cash Flow,
            Budgets, Marginal Costing, Standard Costing
```

Key Ratios

```
LIQUIDITY RATIOS:
  Current Ratio     = Current Assets / Current Liabilities    (Ideal: 2:1)
  Quick Ratio       = Quick Assets / Current Liabilities      (Ideal: 1:1)

PROFITABILITY RATIOS:
  Gross Profit Ratio = (GP / Sales) x 100
  Net Profit Ratio   = (NP / Sales) x 100
  ROCE               = (Net Profit / Capital Employed) x 100

SOLVENCY RATIOS:
  Debt-Equity Ratio       = Total Debt / Shareholders' Equity
  Interest Coverage Ratio = EBIT / Interest Charges

ACTIVITY RATIOS:
  Inventory Turnover = COGS / Average Inventory
  Debtor Turnover    = Credit Sales / Average Debtors
```

Cash Flow Categories

```
CASH FLOW STATEMENT
=====================

Operating Activities:
  Cash from customers, Cash to suppliers, Employee payments

Investing Activities:
  Purchase/Sale of Fixed Assets, Purchase/Sale of Investments

Financing Activities:
  Issue of Shares, Redemption of Debentures, Dividend Payment
```

End of Unit-IV Notes